

People are neither perfectly rational nor perfectly irrational; they possess diverse combinations of rational and irrational characteristics, and benefit from different degrees of enlightenment with respect to different issues.

THE ROLE OF BEHAVIORAL FINANCE WITH PRIVATE CLIENTS

Private clients can greatly benefit from the application of behavioral finance to their unique situations. Because behavioral finance is a relatively new concept in application to individual investors, investment advisors may feel reluctant to accept its validity. Moreover, advisors may not feel comfortable asking their clients psychological or behavioral questions to ascertain biases, especially at the beginning of the advisory relationship.

One of the objectives of this book is to position behavioral finance as a more mainstream aspect of the wealth management relationship, for both advisors and clients.

As behavioral finance is increasingly adopted by practitioners, clients will begin to see the benefits. There is no doubt that an understanding of how investor psychology impacts investment outcomes will generate insights that benefit the advisory relationship. The key result of a behavioral finance-enhanced relationship will be a portfolio to which the advisor can comfortably adhere while fulfilling the client's long-term goals. This result has obvious advantages—advantages that suggest that behavioral finance will continue to play an increasing role in portfolio structure.

HOW PRACTICAL APPLICATION OF BEHAVIORAL FINANCE CAN CREATE A SUCCESSFUL ADVISORY RELATIONSHIP

Wealth management practitioners have different ways of measuring the success of an advisory relationship. Few could argue that every successful relationship shares some fundamental characteristics:

- The advisor understands the client's financial goals.
- The advisor maintains a systematic (consistent) approach to advising the client.
- The advisor delivers what the client expects.
- The relationship benefits both client and advisor.

So, how can behavioral finance help?